ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ECONOMICS **6073/2**
PAPER 2 Data Response
1 hour 15 minutes

JUNE 2025 SESSION

Additional materials:
Answer booklet

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces provided on the answer booklet provided.

Answer **both** questions.

Write your answers on the separate answer booklet provided.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks for each question is given in brackets [ ].

1 **Read the following text and answers the questions that follow.**

INCOME ELASTICITIES AND INFERIOR GOODS

Table 1 gives estimates of the income elasticity of demand for certain foods in the U.K. The estimates have been calculated using data from the National Food Survey which from 2001 was amalgamated with the Family Expenditure Survey to become the Expenditure and Food Survey conducted by Defra (Department for the Environment, Food and Rural Affairs) and ONS (Office for National Statistics, the UK government statistical service).

The calculations pool data for the three-year period 1998 – 2000. Sophisticated statistical techniques were used to take account of factors such as regional spending patterns and household size. The estimates are based on how food expenditure varies between households on different incomes.

Food itself, according to the data, has an income elasticity of demand of +0.20. Hence, a 10 per cent increase in incomes leads to a 2 per cent increase in the quantity demanded of all foods. Incomes in the UK are growing at around 2.5 per cent per year on average. Growth in demand for food is increasing, therefore, at just one fifth of that amount, at around 0.5 per cent per year on average. An income elasticity of +0.20 also means that spending on food is declining as a proportion of total household expenditure over time.

Table 1 Estimated Income elasticity of food production

	Income elasticity
Milk and cream	0.05
of which liquid whole milk	-0.17
Cheese	0.23
Carcass meat	0.20
Fish	0.27
Eggs	-0.01
Fats	0.08
of which Butter	0.20
Margarine	-0.37
Sugar and preserves	0.00
Fresh potatoes	0.09
Fresh green vegetables	0.27
Fresh fruit of which	
Apples	-0.07
Oranges	0.23
Bananas	0.12
Fruit juices	0.45
Bread	0.12
Cakes and biscuits	0.13
Beverages	0.10
of which	
Tea	-0.02
Coffee	0.16
All foods	0.20

Source National Food Survey 2000, Defra

(a) (i) Define income elasticity of demand. [2]

(ii) With reference to the table, distinguish between normal and inferior goods. [2]

(i) Explain the cause of the decline in the proportion of expenditure on food to total household's expenditure overtime. [2]

(ii) Using the indifference curve analysis, explain the effects of a fall in price on inferior goods. [4]

(c) Comment on any **two** macro-economic policies which can be used by the government of Zimbabwe to enhance food security. [4]

Assess the relevance of the knowledge of income elasticity of demand to food processors in your country. [6]

2 Read the passage below and answer the questions that follow:

Monthly inflation stays low

Monthly inflation during March remained very low at 0.1 percent and the high level of price stability since September last year continued, with the annual inflation rate falling to 87.7 percent, the Monetary Policy Committee of the Reserve Bank of Zimbabwe announced after its meeting yesterday.

Although inflation is falling and major falls in the annual rate will be coming through in the next five months, the committee only adjusted the bank policy rate and the minimum interest that banks are allowed to charge, marginally reduced it from 150 percent to 140 percent.

The high lending rates, peaking at 200 percent, were part of the basket of measures introduced in the middle of last year to kill the speculative borrowing that was driving the then flourishing black market in foreign currency. The measures succeeded in converting the black market to a small affair that largely now functions as a conviction for people wanting to change money outside banking hours with a very small premium.

Interest rates on the medium term bank accommodation facility were also cut marginally from 75 percent to 70 percent, continuing the policy that these should be half the bank rate. These incorporate some of the lending for capital equipment.

The falling inflation rates could make saving to local currency more attractive as deposit rates move into the positive. Savings interest rates were kept at 30 percent and interest for timed deposits were also maintained at 50 percent.

Bureaux de change, in a further move to kill off the black market and bring almost all currency dealing in foreign currency, have been allowed to increase their trading margin from the current 5 percent to 10 percent.

The maximum size of a transaction in this market remains at US$100 000. "The MPC noted with satisfaction that domestic economic activity remained robust notwithstanding the expected slowdown in global economic growth.

"Domestic inflationary pressures in the economy continued dissipating as a result of fiscal discipline, the tight monetary policy, and enhanced monitoring and enforcement of market discipline by the Financial Intelligent Unit (FIU)," reported the committee.

Gold coins continued to dissipate domestic inflationary pressure, giving those who reluctantly entered the black market seeking to preserve value a legal and better alternative, by cutting money supply and removing inflationary pressure instead of fuelling inflation.

By 10 March the Reserve Bank had sold 31 866 gold coins of all sizes, removing $25,8 billion from the pool of local currency.

Full story on www.herald.co.zw

(a) (i) Define inflation. [2]

(ii) Describe how speculative borrowing causes inflation. [2]

(i) Explain the relationship between inflation and savings. [2]

(ii) Explain how government can control parallel market operations in foreign currency. [4]

Analyse any **two** supply side policies that can be used to reduce inflation. [4]

Evaluate the effects of exchange rate depreciation to the economy of a country. [6]